

DECENTRALIZED MASTERS

DM MARKET UPDATE

Weekly Research Briefing

June 29, 2026

Tyler Hubbard

Head of Research, Decentralized Masters

MACRO

CRYPTO

NFP WEEK

DXY (Dollar)

101.3

14-month high

+0.3% wk

Gold (Spot)

\$4,026

per ounce

-2.6% wk

WTI Crude

\$70.12

per barrel

~-9% wk

10-yr Treasury

4.38%

yield

-7bps

PCE Confirmed 4.1% YoY / 3.4% Core:

Headline matched estimates; monthly came in a touch soft. Markets now price THREE 2026 hikes; Sept probability at ~62%. Analysts calling May the potential inflation peak.

Equity Volatility — Tech Hit Hard:

BoA 3-hike note + South Korean KOSPI crash triggered global chip selloff. Micron -13% Tue. S&P -1.44% Tue. Now bouncing: S&P +0.7%, Nasdaq +1% today. AI trade re-entering.

Iran: Weekend Escalation Then Ceasefire:

Thu–Sat: fresh US-Iran strikes in Hormuz; M/T Kiku tanker hit. Sunday: ceasefire agreed. Doha talks Tuesday. Oil hit below \$70 Friday (first time since Feb 27, day before war started).

Gold -10% in June — Worst Month of Cycle:

4th consecutive weekly decline; rate hike expectations dominating over geopolitical bid. Watch NFP Thursday for potential reversal catalyst.

MAY PCE: CONFIRMED — AND POSSIBLY THE PEAK

June 25, 2026

Headline PCE (YoY)

4.1%

Est: 4.1%

Prior: 3.8%

In-line

Core PCE (YoY)

3.4%

Est: 3.3%

Prior: 3.3%

Hot

Headline PCE (MoM)

0.4%

Est: 0.5%

Prior: 0.4%

Soft

Core PCE (MoM)

0.37%

Est: 0.30%

Prior: 0.24%

Hot

RATE HIKE PRICING NOW

Markets pricing:

3 hikes by year-end

September hike:

~62% probability

Deutsche Bank base case:

2 hikes in 2026; no cuts until 2028

THE INFLATION PEAK ARGUMENT

- Oil has fallen ~15% in June as Hormuz partially reopens
- May PCE monthly was softer than expected (0.4% vs 0.5%)
- NY Fed's Williams: expects inflation to edge lower in coming quarters
- June PCE (out late July) should show lower energy costs

EQUITIES: AI SELLOFF, BOUNCE, AND ROTATION

Week Recap

↓ Mon Jun 22

BoA: Up to 3 hikes possible

↓ Tue Jun 23

KOSPI -10%; Nasdaq -2.21%;
Micron -13%; VIX 19.5

→ Wed Jun 24

Micron earnings beat; \$25B
SpaceX debt raise

→ Thu Jun 25

Apple + MSFT price hikes; PCE
in-line; OpenAI IPO delay

↑ Fri Jun 26

PCE bounce; Brent -10% weekly
(Hormuz flow recovery)

KEY MOVERS LAST WEEK

Micron (MU)	-13% Tue → +4% aft-hours
Nvidia (NVDA)	-3.2% Tue; recovering today
SpaceX (SPCX)	\$25B debt raise; post-IPO vol.
Comcast (CMCSA)	+20% today (NBCUniversal spin)
S&P 500	-1.44% Tue; +0.7% today

THE KEY INSIGHT: ROTATION

- Equal-weight S&P 500 near all-time highs — breadth actually improving
- AI mega-caps sold, money rotated into rest of market
- Russell 2000 showed relative strength this week
- Market not abandoning AI — demanding proof on earnings, then re-entering
- OpenAI IPO delay removes one source of uncertainty from the calendar

OIL & IRAN: WEEKEND ESCALATION, THEN CEASEFIRE

Jun 19 (Fri)
Geneva talks collapse; Trump threatens more strikes

Jun 25 (Thu)
Iran strikes container ship in Hormuz

Jun 26 (Fri)
US retaliatory strikes on Iranian targets

Jun 27 (Sat)
US strikes after Iran hits M/T Kiku (2M bbl crude)

Jun 28 (Sun)
Both sides halt attacks; Doha talks Tuesday

Jun 30 (Tue)
US-Iran Doha talks (Iran denied; US confirmed delegation)

Pre-War WTI

~\$65

Feb 2026 baseline

War Peak

~\$120+

Hormuz closure peak

Last Week

~\$77

Jun 22, pre-escalation

Today (Mon)

~\$70

First below \$70 since Feb

↓ from \$77



ING WARNING:

Traders appear 'too optimistic' on recovery timeline — complacency leaves 'significant upside risk if supply recovery proves slow.' Market pricing best case, not base case.

GOLD: -10% IN JUNE — WORST MONTH OF THIS CYCLE

Jan 28 ATH

\$5,589

Last Week

\$4,150

Today

\$4,026

Drawdown (ATH)

-28.0%

June return

-10.2%

GS Year-End

\$4,900

WHY GOLD IS FALLING



Rate Hike Pricing

3 hikes now priced by year-end. Gold yields nothing — bonds become relatively more attractive when rates rise.



DXY at 14-Month Highs

Dollar at ~101.3 makes gold expensive for non-US buyers, suppressing global demand.



Oil Retreat Reduces Geopolitical Bid

Gold's war premium deflates as Hormuz traffic recovers and ceasefire holds (tentatively).



Falling Real Yields Needed

For gold to rally, either: (1) inflation expectations fall faster than nominal yields, or (2) a growth scare resets hike narrative.



What Could Reverse It

Weak NFP Thursday → rate hike odds fall → dollar softens → gold bounces. This is the fastest path.

STRUCTURAL THESIS UNCHANGED:

US debt >\$37T, CB buying near record pace, dollar reserve share declining. This is a cyclical pullback inside a structural bull market — not a reversal.

THIS WEEK'S CALENDAR — NFP THURSDAY, HOLIDAY FRIDAY

MON Jun 29	TUE Jun 30	WED Jul 1	THU Jul 2	FRI Jul 3
Warsh remarks (watch rate signals)	★ Iran-US Doha Talks Consumer Confidence (CB)	ADP Employment (Jun) ISM Mfg. PMI (Jun)	★★ June NFP ★★ Unemployment Rate Hourly Earnings	MARKETS CLOSED Independence Day Holiday

★★ NFP THURSDAY: Last major data before July 29 FOMC. Hot print (180K+ / strong wages) → July hike odds above 40%. Weak print (<120K) → rate cut talk returns. Holiday Friday = Thursday's reaction holds into long weekend.

CRYPTO OVERVIEW — BRUTAL WEEK CONTINUES

June 29, 2026

Bitcoin (BTC)

\$59,800

~\$1.18T Mkt Cap

-6.3% wk

Ethereum (ETH)

\$1,565

~\$188B Mkt Cap

-11.1% wk

Fear & Greed

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Extreme Fear

↓ from 23

BTC ETF AUM

\$77.5B

Was \$113B Jan 1

7 wks outflows

THE WEEK THAT BROKE \$60K

- June 24-25: BTC dropped to \$59,023 — lowest since Oct 10, 2024. ~\$1B liquidated: \$780M long, \$220M short.
- 7 consecutive weeks of ETF outflows. ETF AUM fell from \$113B (Jan 1) to \$77.5B. Issuers selling physical BTC to fund redemptions.
- Whale wallets (10-10K BTC) dumped 45,074 coins in the 8 days leading up to the flush. CZ attributes crypto's -50% year to AI rotation, geopolitics, 4-year cycle.
- Strategy (MicroStrategy) market value fell below BTC holdings — the premium is gone. Ripple CEO calls the model 'financial engineering that hurt crypto.'

BITCOIN: THE JUNE 24 FLUSH & WHAT COMES NEXT

THE JUNE 24-25 LIQUIDATION

BTC low hit **\$59,023**

Total liquidations **~\$1.0B**

Long liq. **\$780M**

Short liq. **\$220M**

BTC-specific liq. **\$413M**

ETH-specific liq. **\$226M**

\$1.6B long positions still sitting below \$58,000 → danger zone

KEY LEVELS

Resistance 2: \$63,000

Structure repair needed

Resistance 1: \$61,000–61,750

First escape zone

Current Price: \$59,800

Post flush stabilizing

Support 1: \$58,000–58,400

Absorption zone holds

Danger Zone: Below \$58K

\$1.6B long cluster

THE CLARITY ACT — UNDERRATED CATALYST

- Senate vote expected within ~5 weeks before Congress recess
- If passed: institutional capital unlocked — regulatory clarity removes the biggest entry barrier
- If delayed to fall: catalyst disappears for months, another quarter of limbo
- Watch Senate floor schedule — this is flying under the radar

01

June NFP — Thursday

Last Print Before July 29 FOMC

- Hot (180K+ / strong wages): July hike odds spike, Sept above 75%. DXY up, BTC pressure on \$58K cluster.
- Soft (<120K): Rate cut talk re-enters for late 2026. Dollar softens, gold and BTC get relief.
- Holiday Friday = Thursday's market reaction holds into 3-day weekend — position accordingly.

02

Doha Talks — Tuesday

Iran-US: Oil & Inflation Wildcard

- US confirmed delegation; Iran publicly denied meeting. Divergence adds uncertainty.
- Success: oil stays sub-\$73, peak inflation thesis builds, Fed hike pricing may soften.
- Failure / escalation: oil spikes back toward \$80+, inflation outlook worsens, risk-off.

03

Bitcoin \$58K Zone

Absorption or Continuation Lower?

- \$58-59K showing buyer absorption but not confirmed accumulation — needs higher migration.
- Below \$58K: \$1.6B long cluster triggers, cascade risk accelerates toward \$55K.
- Also watch: CLARITY Act Senate news + any ETF inflow reversal as early green shoots.